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Working note:

$$\text{Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{(100 + \text{Rate of commission})} \times 100$$

Net profit = 14,000 – (3,500 + 1,000+1,200+1,800+1,700+600) = ` 4,200

$$\text{Manager's commission} = 4{,}200 \times \frac{5}{105} = ` 200$$

Illustration 13

From the following particulars, prepare the balance sheet of Madhu, for the year ended 31st March, 2018.

Particulars	`	Particulars	`
Capital	2,00,000	Sundry creditors	40,000
Drawings	40,000	Bills payable	20,000
Cash in hand	15,000	Goodwill	60,000
Loan from bank	40,000	Sundry debtors	80,000
Bank overdraft	20,000	Land and building	50,000
Investments	20,000	Vehicles	80,000
Bills receivable	10,000	Cash at bank	25,000

The following adjustments were made at the time of preparing final accounts:

(a) Outstanding liabilities: Salaries ` 10,000; Wages ` 20,000; Interest on Bank overdraft ` 3,000 and Interest on bank loan ` 6,000

(b) Provide interest on capital @ 10% p.a.

(c) Bad debts amounted to ` 10,000 and make a provision for bad debts @ 10% on sundry debtors.

(d) Closing stock amounted to ` 1,20,000

(e) Depreciate vehicles @ 10% p.a.

Net profit for the year amounted to ` 96,000 after considering all the above adjustments.